

April 28, 2026 12:06 AM GMT

Montage Technology Co Ltd | Asia Pacific

New businesses driving revenue growth and margin expansion

WHAT'S CHANGED

Montage Technology Co Ltd (6809.HK)	From	To
Price Target	HK\$212.00	HK\$310.00
Montage Technology Co Ltd (688008.SS)		
Price Target	Rmb190.00	Rmb274.00

Reaction to earnings

Strengthens our thesis Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Modest revision higher Direction of next 12-month consensus EPS
---	--	---

Source: Company data, Morgan Stanley Research

We remain OW, and raise A-share PT from Rmb190 to Rmb274, raise H-share PT from HK\$212 to HK\$310 as we increase our 2026/27 EPS estimates by 18%/25% and introduce 2028 EPS estimates ([Exhibit 2](#)).

Key Takeaways

- 1Q26 revenue was Rmb1,461mn, +4% Q/Q and +20% Y/Y, constrained on the supply side and affected by a strong RMB.
- GP was Rmb1,019mn. GM was 69.8%, +5.3ppt Q/Q and +9.3ppt Y/Y, 9.0ppt above MSe on interface chip iterations and new products.
- EPS was Rmb0.73, +38% Q/Q and +59% Y/Y, 45% above MSe due in part to non-op gains.
- 1Q26 interconnect chips GM was 71.5%, +3.8ppt Q/Q and +7.0ppt Y/Y.

Beneficiary of agentic AI: Montage expects to benefit from: 1) memory interface content being driven by increased CPU and DRAM content; 2) MRDIMM addressing improved DRAM capacity and bandwidth requirements; and 3) other CPU-related interconnect gains from increased CPU content.

New businesses: MRCD/MDB, PCIe retimer, CKD, and CXL revenue combined reached Rmb269mn in 1Q, up 93.8% Y/Y. Management expects CXL commercialization to start in 2027. PCIe switch development is said to be near completion, and management still targets sampling by year-end.

Maintain OW: We believe Montage is well positioned to benefit from the incremental CPU server TAM, driven by agentic AI demand through memory interface chips ([link](#)). We also view it as a unique proxy to benefit from China's AI server market through its PCIe business.

MORGAN STANLEY TAIWAN LIMITED+

Daniel Yen, CFA

Equity Analyst

Daniel.Yen@morganstanley.com

+886 2 2730-2863

Charlie Chan

Equity Analyst

Charlie.Chan@morganstanley.com

+886 2 2730-1725

MORGAN STANLEY ASIA LIMITED+

Daisy Dai, CFA

Equity Analyst

Daisy.Dai@morganstanley.com

+852 2848-7310

Ethan Jia

Research Associate

Ethan.Jia@morganstanley.com

+852 3963-2287

Montage Technology Co Ltd (688008.SS, 688008 CG)

Greater China Technology Semiconductors | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb274.00
Up/downside to price target (%)	54
Shr price, close (Apr 27, 2026)	Rmb178.09
52-Week Range	Rmb188.88-72.18
Sh out, dil, curr (mn)	1,136
Mkt cap, curr (mn)	Rmb202,372
EV, curr (mn)	Rmb194,915
Avg daily trading value (mn)	Rmb4,199

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.90	3.06	5.78	6.75
Prior EPS (Rmb)**	1.87	2.60	4.61	-
EPS (Rmb)\$	2.04	2.75	3.74	4.73
Revenue, net (Rmb mn)	5,280	7,454	12,795	14,666
EBITDA (Rmb mn)	1,852	3,720	7,098	8,313
ModelWare net inc (Rmb mn)	2,158	3,552	6,714	7,833
P/E	62.2	57.0	30.1	25.8
P/BV	10.4	8.9	6.9	5.4
RNOA (%)	33.7	49.9	99.5	102.1
ROE (%)	18.9	27.6	29.5	26.6
EV/EBITDA	68.3	51.4	26.1	21.4
FCF yld ratio (%)**	0.7	1.8	2.9	3.7
Leverage (EOP) (%)	(57.9)	(76.9)	(79.6)	(83.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Financial Summary

Exhibit 1: Montage: Financial Summary

Income Statement

Rmb mn (Years End Dec)	2025	2026E	2027E	2028E
Net sales	5,280	7,454	12,795	14,666
COGS	(2,047)	(2,333)	(3,762)	(4,246)
Gross profit	3,233	5,121	9,033	10,420
Operating expenses	(1,485)	(1,515)	(2,060)	(2,242)
Operating income	1,747	3,605	6,973	8,178
Non-operating income	477	127	180	180
Pre-tax income	2,224	3,732	7,153	8,358
Income tax	144	251	510	536
Net Income	2,080	3,481	6,643	7,762
Minority Interest	(78)	(71)	(71)	(71)
Reported net Income	2,158	3,552	6,714	7,833
Adj. wtd. avg. shrs (m)	1,138	1,136	1,136	1,136
Reported EPS (Rmb)	1.90	3.06	5.78	6.75

Balance Sheet

Rmb mn (Years End Dec)	2025	2026E	2027E	2028E
Cash	5,852	15,864	21,826	29,385
Mkt Securities	1,512	1,512	1,512	1,512
AR/INR	568	639	1,199	1,374
Inventory	896	639	1,030	1,163
Other	2,206	2,206	2,206	2,206
Current Assets	11,034	20,920	27,774	35,641
Long-term investments	32	32	32	32
Fixed assets	716	736	756	776
Deferred assets	43	43	43	43
Other assets	1,863	1,863	1,863	1,863
Total Assets	13,748	23,654	30,528	38,415
S/T borrowings	0	0	0	0
AP/INP	208	262	423	477
Other ST liabilities	561	561	561	561
LT debt	0	0	0	0
Other LT liabilities	107	107	107	107
Common shares	1,146	1,146	1,146	1,146
Total Liabilities	877	931	1,091	1,146
Additional capital	6,114	12,414	12,414	12,414
Retained earning	6,019	9,571	16,284	24,117
Other shareholders' equity	(408)	(408)	(408)	(408)
Total Equity	12,871	22,723	29,437	37,269
Total Liab. & Shrhldr's Equity	13,748	23,654	30,528	38,415

Cash Flow Statement

Rmb mn (Years End Dec)	2025	2026E	2027E	2028E
Cashflow from Operations	2,022	3,846	6,107	7,713
Net profits	2,158	3,552	6,714	7,833
Depreciation	82	87	92	97
Working Capital Change	(1,519)	180	(731)	(254)
Other adjustments	1,302	28	33	38
Cashflow from Investing	850	(135)	(145)	(155)
Capex	(266)	(135)	(145)	(155)
Change of LT Investment	17	0	0	0
Change of ST Investment	(164)	0	0	0
Other adjustments	1,263	0	0	0
Cashflow from financing	(1,029)	6,300	0	0
Increase in L/T debt	0	0	0	0
Increase in S/T debt	0	0	0	0
Cash Dividend Paid	(670)	0	0	0
Equity Financing	100	6,300	0	0
Other adjustments	(459)	0	0	0
Exchange rate adjustment	(126)	0	0	0
Net change in cash	1,717	10,012	5,962	7,559

Financial Ratios

	2025	2026E	2027E	2028E
Growth(%)				
Turnover	45.1	41.2	71.7	14.6
Operating profits	64.9	106.3	93.4	17.3
EPS	52.3	61.5	89.0	16.7
Margins (%)				
Gross Margin	61.2	68.7	70.6	71.0
Operating Margin	33.1	48.4	54.5	55.8
Pretax Margin	42.1	50.1	55.9	57.0
Net Margin	40.9	47.7	52.5	53.4
Return (%)				
ROAE	17.8	20.0	25.7	23.5
ROAA	16.6	19.0	24.8	22.7
Gearing (%)				
Net Debt/Equity	(45.5)	(69.8)	(74.1)	(78.8)
Liabilities/Equity	6.8	4.1	3.7	3.1
Ratios (X)				
Current ratio	14.3	25.4	28.2	34.3
Quick ratio	13.2	24.6	27.2	33.2
Others				
AR/INR Turnover (days)	34	34	34	34
Inventory Turnover (days)	100	100	100	100
AP Turnover (days)	41	41	41	41
Cash Conversion (days)	93	93	93	93

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Montage Technology Co Ltd (688008.SS)

More Than a China Cloud Proxy; OW

PRICE TARGET Rmb274.00

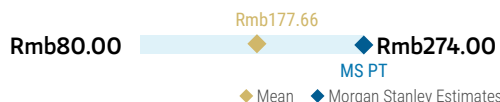
Base case, residual income model. Key assumptions:

- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 19.3% medium-term growth rate
- 4% terminal growth rate

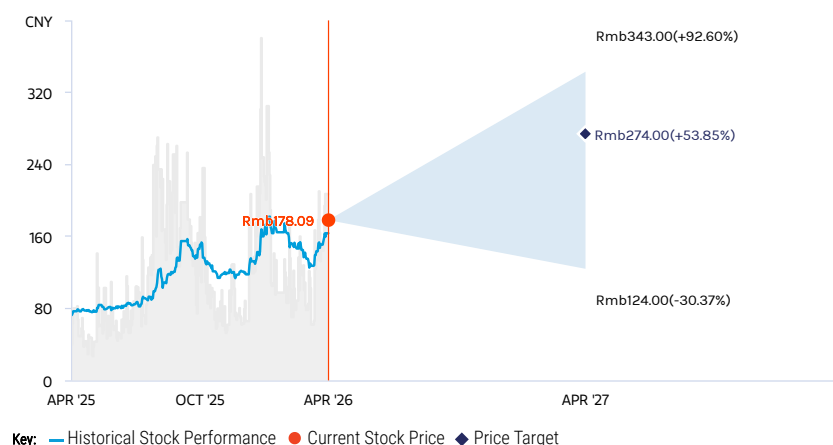
These assumptions are justified, given cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

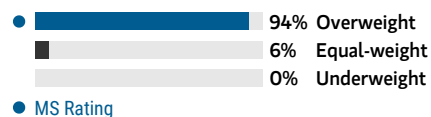


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Montage is China's only pure datacenter player, with the majority of its revenue generated from interconnect chips, mainly memory interconnect chips for server DRAM.
- Core DRAM interconnect business is levered to the global cloud capex/memory super cycle.
- New AI business including MRCD/MDB, PCIe retimers, and PCIe switch is benefiting from AI server demand.
- China semi localization is driving market share gains, especially for PCIe products.
- We are OW the stock, as our PT implies 90x 2026e P/E, vs the A-share historical average of 70x since 2020, and supported by our forecast 53.7% net income CAGR in 2025-28e.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb343.00

112x 2026e EPS

We assume 50%+ revenue CAGR in 2025-28e: Memory interface to benefit from continued cloud cycle and spec upgrade, achieving 35%+ revenue CAGR in 2025-28e. MRCD/MDB to receive orders from more major customers. PCIe retimer/switch adopted in large scale by overseas customers.

BASE CASE

Rmb274.00

90x 2026e EPS

We expect 41% revenue CAGR in 2025-28e: Memory interface to benefit from continued cloud cycle and spec upgrade, achieving 19.4% revenue CAGR in 2025-28e. MRCD/MDB revenue reaches ~Rmb2.2bn by 2028e. PCIe retimer/switch to generate Rmb3.0bn/3.3bn by 2028e, respectively.

BEAR CASE

Rmb124.00

41x 2026e EPS

We assume <20% revenue CAGR in 2025-28e: Memory interface suffers from a cloud cycle downturn or slowdown in spec upgrade. MRCD/MDB, PCIe retimer revenue contribution to be limited. PCIe switch product launch to be delayed.

Risk Reward – Montage Technology Co Ltd (688008.SS)

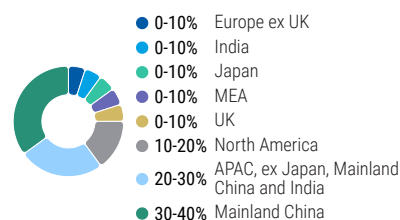
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Register clock driver shipment (Rmb, mn)	148	171	193	200
Data buffer shipment (Rmb, mn)	48	56	63	65

INVESTMENT DRIVERS

- Cloud capex strength
- DRAM technology migration
- China datacenter semi localization

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

RISKS TO DOWNSIDE

- Weaker-than-expected cloud demand
- Slower-than-expected DRAM interface technology migration
- Delay in new product launches

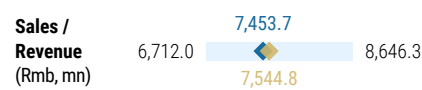
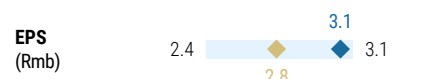
OWNERSHIP POSITIONING

Inst. Owners, % Active 93.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Montage Technology Co Ltd (6809.HK)

More Than a China Cloud Proxy; OW

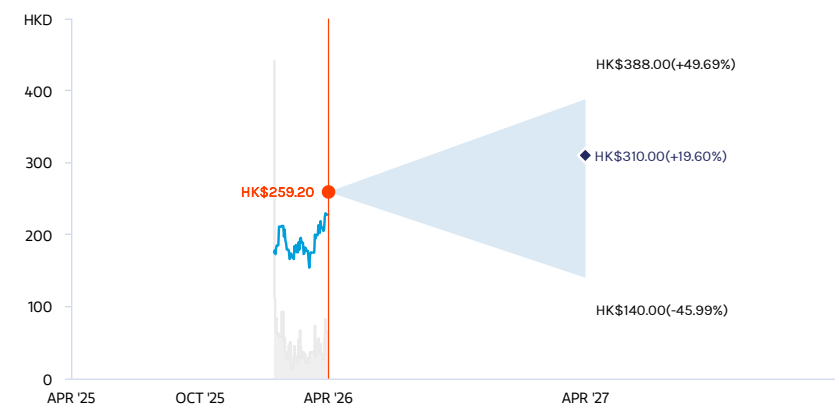
PRICE TARGET HK\$310.00

Base case, residual income model. Key assumptions:

- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 19.3% medium-term growth rate
- 4% terminal growth rate

These assumptions reflect cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization. We then apply an exchange rate of 1.131 HKD:1 RMB, assuming no H-share discount vs the A-share.

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Montage is China's only pure datacenter player, with the majority of its revenue generated from interconnect chips, mainly memory interconnect chips for server DRAM.
- Core DRAM interconnect business is levered to the global cloud capex/memory super cycle.
- New AI business including MRCD/MDB, PCIe retimers, and PCIe switch is benefiting from AI server demand.
- China semi localization is driving market share gains, especially for PCIe products.
- We are OW the stock, as our PT implies 90x 2026e P/E, supported by our forecast 53.7% net income CAGR in 2025-28e.

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$388.00

112x 2026e EPS

We assume 50%+ revenue CAGR in 2025-28e: Memory interface to benefit from continued cloud cycle and spec upgrade, achieving 35%+ revenue CAGR in 2025-28e. MRCD/MDB to receive orders from more major customers. PCIe retimer/switch adopted in large scale by overseas customers.

BASE CASE

HK\$310.00

90x 2026e EPS

We expect 41% revenue CAGR in 2025-28e: Memory interface to benefit from continued cloud cycle and spec upgrade, achieving 19.4% revenue CAGR in 2025-28e. MRCD/MDB revenue reaches ~Rmb2.2bn by 2028e. PCIe retimer/switch to generate Rmb3.0bn/3.3bn by 2028e, respectively.

BEAR CASE

HK\$140.00

41x 2026e EPS

We assume <20% revenue CAGR in 2025-28e: Memory interface suffers from a cloud cycle downturn or slowdown in spec upgrade. MRCD/MDB, PCIe retimer revenue contribution to be limited. PCIe switch product launch to be delayed.

Risk Reward – Montage Technology Co Ltd (6809.HK)

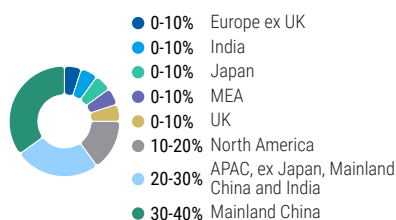
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Register clock driver shipment (Rmb, mn)	148	171	193	200
Data buffer shipment (Rmb, mn)	48	56	63	65

INVESTMENT DRIVERS

- Cloud capex strength
- DRAM technology migration
- China datacenter semi localization

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

RISKS TO DOWNSIDE

- Weaker-than-expected cloud demand
- Slower-than-expected DRAM interface technology migration
- Delay in new product launches

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

EPS
(Rmb) ◆ 3.1
Note: There are not sufficient brokers supplying consensus data for this metric

EBITDA
(Rmb, mn) ◆ 3,720
Note: There are not sufficient brokers supplying consensus data for this metric

ROE
(%) ◆ 27.6
Note: There are not sufficient brokers supplying consensus data for this metric

Sales / Revenue
(Rmb, mn) ◆ 7,453.7
Note: There are not sufficient brokers supplying consensus data for this metric

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Estimate Revision Summary

We raise our EPS forecasts by 18% for 2026 and 25% for 2027. We factor in 4Q25 and 1Q26 actual results. We also reflect a stronger outlook from agentic AI demand.

Exhibit 2: Montage: Estimate Revisions

Rmb mn	Current 2026E	Previous 2026E	Diff.	Current 2027E	Previous 2027E	Diff.	Current 2028E
Net sales	7,454	7,710	-3%	12,795	12,743	0%	14,666
COGS	2,333	2,912		3,762	4,438		4,246
Gross profit	5,121	4,799	7%	9,033	8,305	9%	10,420
Operating expenses	1,515	1,661		2,060	2,275		2,242
Operating profit	3,605	3,138	15%	6,973	6,031	16%	8,178
Non-op. income (exp.)	127	340		180	180		180
Pretax Income	3,732	3,478	7%	7,153	6,211	15%	8,358
Taxes	251	226		510	404		596
Net income	3,552	3,289	8%	6,714	5,844	15%	7,833
Reported EPS	3.06	2.60	18%	5.78	4.61	25%	6.75

Margins							
Gross margin	68.7%	62.2%	6 ppt	70.6%	65.2%	5 ppt	71.0%
Operating margin	48.4%	40.7%	8 ppt	54.5%	47.3%	7 ppt	55.8%
Pretax margin	50.1%	45.1%	5 ppt	55.9%	48.7%	7 ppt	57.0%
Net margin	47.7%	42.7%	5 ppt	52.5%	45.9%	7 ppt	53.4%

Source: Morgan Stanley Research (E) estimates

Exhibit 3: Montage Quarterly Financials

Rmb in million (YE Dec31)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2024	2025	2026E	2027E	2028E
Total Revenues	1,222	1,411	1,424	1,222	1,461	1,774	1,982	2,237	2,424	3,139	3,442	3,789	4,296	4,785	5,459	6,257	3,639	5,280	7,454	12,795	14,666
Sequential Change	14.4%	15.5%	0.9%	-14.2%	19.5%	21.4%	11.7%	12.9%	8.3%	29.5%	9.7%	10.1%	13.4%	11.4%	14.1%	14.6%					
Change vs Year Ago	65.8%	52.1%	57.2%	14.4%	19.5%	25.7%	39.1%	83.0%	65.9%	77.0%	73.7%	69.4%	77.2%	52.4%	58.6%	65.1%	59.2%	45.1%	41.2%	71.7%	14.6%
Cost of Sales	483	558	522	483	441	573	627	693	741	923	1,003	1,094	1,226	1,356	1,533	1,745	1,524	2,047	2,333	3,762	4,246
Percent of Revenues	40%	40%	37%	40%	30%	32%	32%	31%	31%	29%	29%	29%	28%	28%	28%	28%	42%	39%	31%	29%	29%
Gross Profit	739	853	902	739	1,019	1,201	1,355	1,545	1,683	2,216	2,440	2,695	3,069	3,429	3,926	4,512	2,115	3,233	5,121	9,033	10,420
Percent of Revenues	60.4%	60.4%	63.3%	60.4%	69.8%	67.7%	68.4%	69.0%	69.4%	70.6%	70.9%	71.1%	71.5%	71.7%	71.9%	72.1%	58.1%	61.2%	68.7%	70.6%	71.0%
Incremental Margin	76%	60%	380%	NM	118%	58%	74%	74%	74%	75%	74%	74%	74%	74%	74%	73%	57%	68%	87%	73%	74%
Total Opex	279	351	576	279	345	367	389	414	440	500	539	581	622	658	718	786	1,056	1,485	1,515	2,060	2,242
Percent of Revenues	22.8%	24.9%	40.5%	22.8%	23.6%	20.7%	19.7%	18.5%	18.1%	15.9%	15.7%	15.3%	14.5%	13.7%	13.2%	12.6%	29.0%	28.1%	20.3%	16.1%	15.3%
R&D	153	204	176	153	188	198	208	218	236	254	272	290	308	326	344	362	763	686	813	1,053	1,125
Percent of Revenues	12.5%	14.5%	12.4%	12.5%	12.9%	11.2%	10.5%	9.8%	9.7%	8.1%	7.9%	7.7%	7.2%	6.8%	6.3%	5.8%	21.0%	13.0%	10.9%	8.2%	7.7%
General & administrative	102	120	370	102	127	139	150	164	171	211	232	255	276	294	335	384	196	693	581	869	975
Percent of Revenues	8.3%	8.5%	26.0%	8.3%	8.1%	7.8%	7.6%	7.3%	7.0%	6.7%	6.7%	6.7%	6.4%	6.1%	6.1%	6.1%	5.4%	13.1%	7.8%	6.8%	6.6%
Selling & marketing	24	27	31	24	29	30	31	32	33	34	35	36	37	38	39	40	96	106	122	138	142
Percent of Revenues	2.0%	1.9%	2.1%	2.0%	2.0%	1.7%	1.6%	1.4%	1.4%	1.1%	1.0%	1.0%	0.9%	0.8%	0.7%	0.6%	2.6%	2.0%	1.6%	1.1%	1.0%
Operating Income	460	502	326	460	675	834	966	1,130	1,243	1,716	1,901	2,114	2,448	2,772	3,208	3,726	1,060	1,747	3,605	6,973	8,178
Percent of Revenues	37.6%	35.6%	22.9%	37.6%	46.2%	47.0%	48.7%	50.5%	51.3%	54.7%	55.2%	55.8%	57.0%	57.9%	58.8%	59.6%	29.1%	33.1%	48.4%	54.5%	55.8%
Change vs Year Ago	144.6%	76.6%	17.0%	48.9%	46.8%	66.2%	196.5%	145.8%	84.2%	105.8%	96.8%	87.0%	96.9%	61.5%	68.8%	76.3%	164%	65%	106%	93%	17%
Total Non-operating Income(Loss)	71	154	181	71	202	(25)	(25)	(25)	45	45	45	45	45	45	45	45	353	477	127	180	180
Profit Before Taxes	531	655	507	531	877	809	941	1,105	1,288	1,761	1,946	2,159	2,493	2,817	3,253	3,771	1,413	2,224	3,732	7,153	8,358
Percent of Revenues	43%	46%	36%	43%	60%	46%	47%	49%	53%	56%	57%	57%	58%	59%	60%	60%	39%	42%	50%	56%	57%
Taxes	27	47	43	27	47	58	67	79	92	126	139	154	178	201	232	269	72	144	251	510	596
Tax Rate	5.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	7.1%	5.1%	6.5%	6.7%	7.1%	7.1%
Net Income, Cont Ops	504	609	464	504	830	751	874	1,027	1,196	1,636	1,807	2,005	2,315	2,616	3,021	3,502	1,341	2,080	3,481	6,643	7,762
Percent of Revenues	41%	43%	33%	41%	57%	42%	44%	46%	49%	52%	52%	53%	54%	55%	55%	56%	37%	39%	47%	52%	53%
Reported Income	525	634	473	525	847	769	891	1,044	1,214	1,653	1,824	2,022	2,333	2,633	3,038	3,520	1,412	2,158	3,552	6,714	7,833
Percent of Revenues	43%	45%	33%	43%	58%	43%	45%	47%	50%	53%	53%	53%	54%	55%	56%	56%	39%	41%	48%	52%	53%
Change vs Year Ago	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	213%	53%	65%	89%	17%
Reported EPS	0.46	0.56	0.42	0.46	0.73	0.66	0.77	0.90	1.05	1.42	1.57	1.74	2.01	2.27	2.62	3.03	1.24	1.90	3.06	5.78	6.75
Change vs Year Ago	134%	72%	22%	20%	59%	19%	84%	95%	43%	115%	105%	94%	92%	59%	67%	74%	214%	52%	61%	89%	17%

Source: Company data, Morgan Stanley Research (E) estimates

Valuation Methodology

We raise our A-share price target to Rmb274 from Rmb190: The change reflects our increased earnings estimates. We also raise our intermediate growth rate estimate from 18.5% to 19.3% to reflect a better outlook from agentic AI demand. Our price target is our base case value, derived from a residual income (RI) model because we believe that it best captures the company's sustainable growth over the longer term. Our other RI model assumptions are unchanged, including a 8.4% cost of equity (beta 1.2, risk-free rate 3.0%, and risk premium 4.5%), a payout ratio of 30%, and a terminal growth rate of 4.0%. We apply an updated exchange rate of 1.131 HKD:1 RMB, assuming no H-share discount vs the A-share, to derive **our H-share price target which is increased to HK\$310 from HK\$212.**

For the A-share, we raise our bull case value to Rmb343 from Rmb238, and our bear case value to Rmb124 from Rmb86. For the H-share, we increase our bull case value to HK\$388 from HK\$265, and our bear case value to HK\$140 from HK\$96. These revisions are in line with our base case value changes.

Exhibit 4: Montage RI Valuation

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	22,723	29,437	37,269	44,091	52,229	61,937	73,519	87,337	103,821	123,487	146,948	174,938
Net Profit	3,552	6,714	7,833	9,344	11,148	13,299	15,866	18,928	22,581	26,939	32,139	38,342
ROAE	20.0%	25.7%	23.5%	23.0%	23.1%	23.3%	23.4%	23.5%	23.6%	23.7%	23.8%	23.8%
Residual Income	1,488	3,941	4,440	5,430	6,502	7,781	9,307	11,127	13,298	15,888	18,978	22,664
Spread	11.6%	17.3%	15.1%	14.6%	14.7%	14.9%	15.0%	15.1%	15.2%	15.3%	15.4%	15.4%
Ending Equity Capital	22,723											
PV of Forecast Period	49,806											
PV of Continuing Value	239,124											
Equity Value (Rmb mn)	311,653											
Equity Value (HK\$ mn)	347,270											
No. of Shares	1,136											
Projected Price (Rmb)	274											
Projected Price (HK\$)	310											

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No. (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Charlie Chan; Daisy Dai, CFA; Tiffany Yeh; Daniel Yen, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of March 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: ACM Research Inc, Advanced Micro-Fabrication Equipment Inc, Advanced Wireless Semiconductor Co, Alchip Technologies Ltd, AllRing Tech Co., AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMPT Ltd, Global Unichip Corp, Hon Precision, JCET Group Co Ltd, King Yuan Electronics Co Ltd, Macronix International Co Ltd, **Montage Technology Co Ltd**, MPI Corporation, Nanya Technology Corp., NAURA Technology Group Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, Shanghai Fudan Microelectronics, Silergy Corp., TSMC, UMC, Vanguard International Semiconductor, WIN Semiconductors Corp, Winbond Electronics Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of **Montage Technology Co Ltd**.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from ASMPT Ltd, **Montage Technology Co Ltd**.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, Macronix International Co Ltd, MediaTek, **Montage Technology Co Ltd**, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, Silergy Corp., Silicon Motion, TSMC, UMC, Universal Scientific Ind. (Shanghai), Vanguard International Semiconductor, Winbond Electronics Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from ASE Technology Holding Co. Ltd., King Yuan Electronics Co Ltd, MediaTek, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, Macronix International Co Ltd, MediaTek, **Montage Technology Co Ltd**, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, Silergy Corp., Silicon Motion, TSMC, UMC, Universal Scientific Ind. (Shanghai), Vanguard International Semiconductor, Winbond Electronics Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: ASE Technology Holding Co. Ltd., King Yuan Electronics Co Ltd, MediaTek, **Montage Technology Co Ltd**, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Morgan Stanley & Co. LLC makes a market in the securities of ACM Research Inc, Himax Technologies Inc, Silicon Motion.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade

as principal in the debt securities (or in related derivatives) that are the subject of the debt research report. Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of March 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

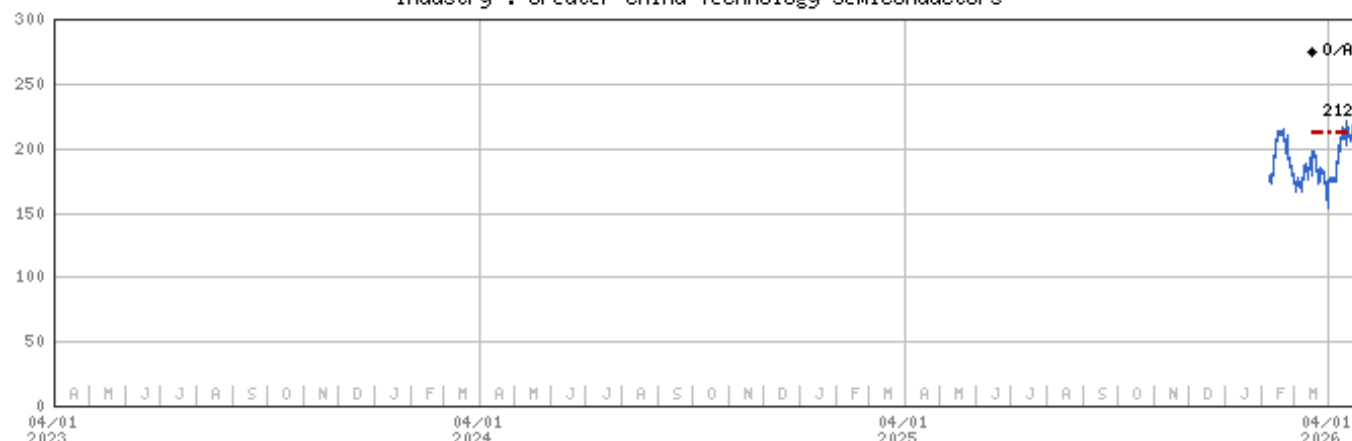
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Montage Technology Co Ltd (6809.HK) - As of 04/27/26 GMT in HKD
Industry : Greater China Technology Semiconductors



Stock Rating History: 3/18/26 : O/A

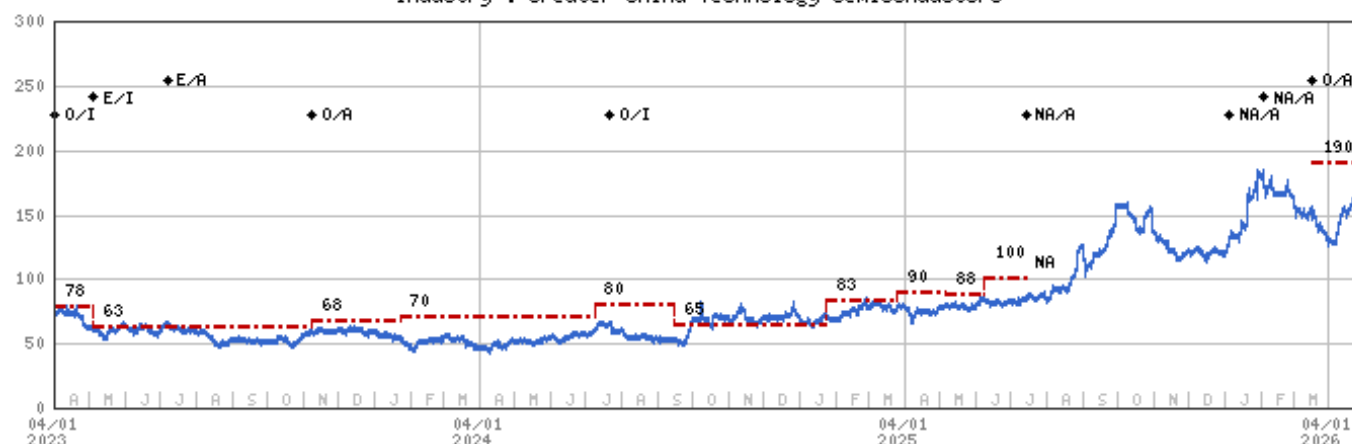
Price Target History: 3/18/26 : 212

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Montage Technology Co Ltd (688008.SS) - As of 04/27/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 4/1/21 : O/I; 5/5/21 : E/I; 10/12/21 : E/C; 5/20/22 : U/C; 10/4/22 : U/A; 12/13/22 : O/A; 2/22/23 : O/I; 5/4/23 : E/I; 7/7/23 : E/A; 11/8/23 : O/A; 7/21/24 : O/I; 7/14/25 : NA/A; 1/5/26 : NA/A; 2/4/26 : NA/A; 3/18/26 : O/A

Price Target History: 3/24/21 : 88; 5/5/21 : 55; 10/29/21 : 62; 11/16/21 : 80; 4/8/22 : 60; 5/20/22 : 52; 7/19/22 : 44; 10/12/22 : 38; 12/13/22 : 85; 1/11/23 : 78; 5/4/23 : 63; 11/8/23 : 68; 1/23/24 : 70; 7/8/24 : 80; 9/15/24 : 65; 1/24/25 : 83; 3/25/25 : 90; 5/6/25 : 88; 6/9/25 : 100; 7/14/25 : NA; 3/18/26 : 190

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of ASMPT Ltd, Hua Hong Semiconductor Ltd listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/27/2026)
Charlie Chan		

ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$53.23
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb352.01
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$134.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,160.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$495.50
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,356.72
Global Unichip Corp (3443.TW)	O (07/27/2024)	NT\$3,955.00
GlobalWafers Co Ltd (6488.TWO)	O (09/19/2025)	NT\$620.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$449.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$114.60
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$414.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$283.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb106.58
MediaTek (2454.TW)	O (11/28/2025)	NT\$2,435.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb724.12
Nanya Technology Corp. (2408.TW)	E (03/20/2026)	NT\$226.50
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb516.25
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb104.63
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,835.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb90.12
Silergy Corp. (6415.TW)	E (04/21/2026)	NT\$420.00
SMIC (0981.HK)	O (10/21/2025)	HK\$68.25
TSMC (2330.TW)	O (02/07/2022)	NT\$2,265.00
UMC (2303.TW)	E (04/20/2026)	NT\$72.70
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$138.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$492.50
Daisy Dai, CFA		
ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$165.80
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb55.16
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$136.00
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb92.77
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb28.93
Innoscence (2577.HK)	E (10/13/2025)	HK\$67.45
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb46.32
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$44.76
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb107.70
StarPower Semiconductor Ltd (603290.SS)	O (03/01/2022)	Rmb110.70
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb73.36
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb39.65
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb79.13
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$753.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,290.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,000.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$120.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb176.25
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb303.42
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$145.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$259.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb178.09
Novatek (3034.TW)	U (02/04/2026)	NT\$416.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$136.00
Parade Technologies Ltd (4966.TWO)	E (01/30/2026)	NT\$615.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$54.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$555.00

Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb66.41
Winbond Electronics Corp (2344.TW)	E (03/20/2026)	NT\$93.90
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$95.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$201.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb132.94
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb393.46
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,080.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$739.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$11.50
Hon Precision (7769.TW)	O (04/17/2026)	NT\$4,970.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$4,880.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$147.54
Winway Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$9,580.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.